WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

NEPAL

Asia

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Kathmandu Valley	Capital and commercial centre; seat of government, the banking system and the Investment Board Nepal, and the main gateway for international arrivals	Financial services, IT and outsourcing, tourism and hospitality, real estate
Himalayan river basins (Koshi, Gandaki, Karnali)	Source of Nepal's large hydropower potential and its fastest-growing export, with electricity export earnings reaching Rs29.32 billion in FY2025/26	Hydropower, transmission, solar, energy services
Birgunj / Simara (central Terai)	Principal trade gateway with India and site of the Simara Special Economic Zone, where six manufacturing units began commercial production in 2026	Manufacturing, logistics, cross-border trade
Bhairahawa / Lumbini (western Terai)	Birthplace of the Buddha and a major pilgrimage destination, served by Gautam Buddha International Airport and the Bhairahawa Special Economic Zone	Tourism, hospitality, light manufacturing, agro-processing
Pokhara (Gandaki)	Nepal's leading leisure-tourism hub and gateway to the Annapurna region, with its own international airport	Tourism, hospitality, adventure and wellness tourism
Biratnagar (Koshi, eastern Terai)	Long-established industrial city on the Indian border and the commercial centre of eastern Nepal	Manufacturing, agro-processing, trade
Dhalkebar cross-border transmission hub	Anchor of the 400 kV Dhalkebar–Muzaffarpur line to India, with further links under construction set to lift export capacity to around 1,850 MW	Power transmission, electricity trade

INVESTOR ENTRY ROUTES

- Investment Board Nepal (IBN), chaired by the Prime Minister, approves and facilitates large projects (above NPR 6 billion) through Project Development Agreements and a one-window service
- Department of Industry and its one-stop service centre handle approvals under the Foreign Investment and Technology Transfer Act 2019 (amended 2025), with a general minimum foreign investment of NPR 20 million
- Automatic approval route, extended in February 2026 to cover a wider range of manufacturing, tourism, agriculture, IT and services activities, accounting for 711 of 914 FDI approvals in the first 11 months of FY2025/26

- Special Economic Zones, including Simara and Bhairahawa, managed by the SEZ Authority and offering serviced industrial land at concessional lease rates
- Nepal Rastra Bank oversight of foreign exchange; the rupee is pegged to the Indian rupee, and dividends and capital may be repatriated subject to NRB approval and documentation, with a currency-hedging facility for foreign loans and investment announced in the 2026/27 budget
- Hydropower development through generation licences, power purchase agreements with the Nepal Electricity Authority and access to Indian and Bangladeshi markets under the 2024 long-term India–Nepal power trade agreement

MARKET-ENTRY OBSERVATION

Nepal in October 2026 combines exceptionally strong external buffers with a reform-minded new government. Following the March 2026 elections, the Rastriya Swatantra Party won 182 of 275 seats, giving Prime Minister Balen Shah's government the clearest parliamentary majority in years and a mandate centred on anti-corruption, transparency and job creation. GDP grew by an estimated 3.85% in FY2025/26 while the external position strengthened markedly: remittances rose 37.1% to Rs2,363 billion, the current account recorded a $6.33 billion surplus, and gross reserves reached a record $26.48 billion by mid-September 2026, enough for 20.9 months of merchandise imports. Inflation averaged 3.08% in FY2025/26 before rising to 6.34% year on year in mid-September 2026, the policy rate stands at 4.5%, and equity FDI inflows rose 137% to Rs28.49 billion. Fitch reaffirmed its BB- rating with a stable outlook, and the 2026/27 budget targets 7% growth, faster foreign-investment approvals, simpler profit repatriation and an early exit from the FATF grey list.

Nepal's main structural challenge is exposure to Himalayan natural hazards, highlighted by the 26 August 2026 flood in Rasuwa, Nuwakot and Dhading, which claimed more than 1,400 lives. The World Bank estimates direct physical damage at $1.66 billion and has revised FY2026/27 growth to 3.7%, recovering to 5.2% in FY2027/28; about 430 MW of generation and transmission capacity, around 10.6% of installed hydro and solar capacity, was affected. Nepal enters reconstruction from a position of strength: record reserves, public debt of about 45% of GDP and a record Rs18.76 billion electricity trade surplus in FY2025/26 provide room to respond. Reconstruction and recovery needs of around $4.8 billion, two-thirds of them in infrastructure, create significant opportunities in climate-resilient hydropower, transmission, roads, early-warning systems and engineering services, supported by the World Bank, ADB and other partners.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Natural hazards and the August 2026 Rasuwa flood	The flood caused an estimated $1.66 billion in direct damage and affected about 430 MW of power capacity, lowering FY2026/27 growth projections to 3.7%	Build climate-resilient design and insurance into projects; reconstruction needs of around $4.8 billion create openings in resilient infrastructure and engineering
FATF grey list	Nepal was placed on the FATF grey list in February 2025 and remained on it after the June 2026 plenary, which can add to banking due diligence and transaction times	Use established correspondent banks and strong KYC documentation; the government has made early exit a stated budget priority
Political transition and governance	The September 2025 Gen Z protests caused significant property damage, but were followed by an orderly election and a government with a clear parliamentary majority	Engage early with the new government's reform agenda; Fitch has noted that a clear majority supports governance and economic reform
Approval and repatriation procedures	Larger and non-automatic investments still require Department of Industry or IBN approval, and repatriation requires NRB approval and documentation	Use the automatic route where eligible, experienced local counsel and IBN facilitation; budget reforms target faster approvals and simpler repatriation
Landlocked geography and trade concentration	Nepal relies on routes through India for most trade and runs a large merchandise trade deficit, financed by strong remittances	New cross-border transmission, roads and the China route diversify access; electricity has become a net export earner

Issue	Potential Impact	Possible Mitigation
LDC graduation timing	Graduation from LDC status is scheduled for 24 November 2026, and Nepal has requested a three-year extension to protect trade preferences	Monitor the UN decision; exporters can plan for transition arrangements such as the UK's DCTS and EU graduation provisions
Public capital spending and project delivery	Low capital-expenditure execution has historically slowed infrastructure delivery, a point noted by rating agencies	Partner with DFI-backed or IBN-supervised projects, which offer stronger delivery frameworks

INVESTOR RISK NOTE

Nepal's risk profile is that of an economy with unusually strong external buffers, a government with a fresh and decisive mandate, and growing natural advantages in clean energy and tourism. Record reserves of $26.48 billion, a $6.33 billion current account surplus, moderate public debt of about 45% of GDP and a stable BB- rating give the country real capacity to absorb shocks. The August 2026 Rasuwa flood is a significant setback, and investors should treat climate and seismic hazards as core design and insurance considerations; at the same time, reconstruction will channel substantial public and donor finance into resilient infrastructure. Nepal's continued FATF grey listing is a compliance consideration that adds to banking due diligence, and investors should ensure robust KYC and anti-money-laundering documentation. The orderly transition from the September 2025 protests to an elected majority government, with a reform-focused budget, points to improving policy predictability over the medium term.

MARKET ACCESS

Nepal has been a WTO member since 2004 and is a member of the South Asian Free Trade Area (SAFTA) and BIMSTEC, linking it to the wider South Asian and Bay of Bengal markets. India is by far its largest trading partner, and bilateral trade, transit and power-trade arrangements give Nepali producers preferential access to the Indian market of more than 1.4 billion people; electricity is also exported to Bangladesh via India under a 2024 tripartite agreement. A 2024 long-term agreement envisages India importing up to 10,000 MW of Nepali power over ten years, and Nepal signed a Belt and Road cooperation framework with China in December 2024, supporting northern connectivity. As a least developed country, Nepal enjoys preferential access to the EU and the UK, including under the UK's Developing Countries Trading Scheme, with transition arrangements to follow LDC graduation.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Balen Shah)	Leads a majority government elected in March 2026 on an anti-corruption, transparency and job-creation agenda; the Prime Minister also chairs the IBN	Primary reference point for Nepal's reform direction and investment priorities
Investment Board Nepal (IBN)	Approves and facilitates large-scale and strategic projects, including major hydropower and infrastructure, with 53 projects approved and progressing	Essential counterpart for large-ticket and infrastructure investment
Department of Industry / Ministry of Industry, Commerce and Supplies	Handles FDI approvals, automatic-route registrations and technology-transfer agreements below the IBN threshold	Standard first point of contact for most foreign-investment entries
Nepal Rastra Bank	Central bank; sets monetary policy, manages the rupee peg and approves foreign-exchange and repatriation transactions	Relevant for capital inflows, repatriation, hedging and banking matters
Ministry of Finance (Swarnim Wagle)	Leads the 2026/27 budget, FATF reform and foreign-investment procedural reforms	Key interlocutor on fiscal incentives, reconstruction finance and reform timelines
Nepal Electricity Authority / Ministry of	State utility and policy lead for power	Central counterpart for any hydropower,

Actor	Why It Matters	Waverley Engagement Angle
Energy, Water Resources and Irrigation	purchase, transmission and cross-border electricity trade	solar or transmission investment
Special Economic Zone Authority	Manages Nepal's SEZs, including Simara and Bhairahawa, and allocates industrial land to investors	Relevant for export-oriented manufacturing and processing projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Federation of Nepalese Chambers of Commerce and Industry (FNCCI) and the Confederation of Nepalese Industries (CNI) are the leading private-sector bodies, and the Nepal Britain Chamber of Commerce and Industry (NBCCI) in Kathmandu and the Britain Nepal Chamber of Commerce (BNCC) in London are the main bilateral channels for UK investors. The Nepal–UK Economic Partnership Forum, held in London in July 2026, saw the West London Chamber of Commerce sign memoranda with CNI and NBCCI, with priority areas including hydropower, renewable energy, tourism, IT and digital services. The Investment Board Nepal organises periodic investment summits and project pipelines, while the World Bank, ADB and other development partners maintain large country programmes now focused on post-flood reconstruction, energy and private-sector development.

INVESTOR PROFILE BEST SUITED

Nepal suits investors seeking long-term exposure to clean energy and a reform-minded frontier market with strong external buffers: hydropower, solar and transmission investors positioned to serve growing export demand from India and Bangladesh; infrastructure, engineering and climate-resilience specialists able to participate in post-flood reconstruction alongside development finance institutions; tourism and hospitality investors building on more than 1.15 million foreign arrivals in 2025; and IT, outsourcing and digital-services investors, the most active category of FDI approvals. Investors should be comfortable with project-level hazard planning, enhanced compliance procedures during FATF grey listing and a measured pace of approvals.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Investment Board Nepal or Department of Industry
Open early dialogue with IBN for large projects, or the Department of Industry for smaller entries, to confirm eligibility for the automatic route and current approval terms.

STEP 2: Align with the new government's reform and reconstruction priorities
Map opportunities against the 2026/27 budget and post-flood recovery plans, where resilient infrastructure and energy are central.

STEP 3: Build hazard resilience and insurance into project design
Commission site-level climate and seismic assessments, drawing on lessons from the August 2026 flood, and secure appropriate cover.

STEP 4: Prepare robust compliance and banking documentation
Establish strong KYC, anti-money-laundering and NRB repatriation documentation from the outset to ease transactions during FATF grey listing.

STEP 5: Partner with development finance and established local groups
Co-invest alongside the World Bank, ADB and experienced Nepali partners, and use FNCCI, CNI and NBCCI networks for introductions.